

NATIONAL AML/CFT SYSTEM OF UZBEKISTAN

Sitora Baxtiyarovna Khujaxonova

*Assistant, Tashkent State University
of Economics, Uzbekistan*

E-mail: khujaxonova94@mail.ru

ABSTRACT

Of great importance in the economic security of the country is the national system for countering money laundering and terrorist financing. This is due to the growing pace of criminal groups and new fraud schemes in the way of legalization of laundered money.

Keywords: money laundering; legalization; contradiction; illegal income; international system; national system; internal control; international standards; criminal activity; strategy; policy; rules; risks.

INTRODUCTION

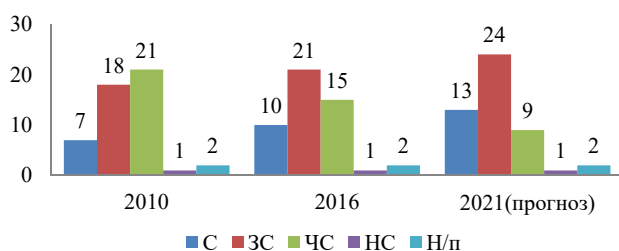
The relevance of the study is at a high level, due to the need for further development of the economy of Uzbekistan in difficult environmental conditions. During the study, numerous opinions of foreign and domestic scientists and practitioners were studied. The analysis was carried out at several levels (global, national and regional).

Currently, almost all financial, banking and economic services of the Republic of Uzbekistan have internal control over the fight against money laundering and the financing of terrorism. However, this process requires constant improvement.

RESULTS

For 15 years, the system of combating money laundering and terrorist financing has undergone major reforms and is still continuing its improvement. For information on the development of this area, let's turn to the statistical materials of international experts. The most popular of these is the Basel Institute of Public Administration. The Institute annually provides a report on country ratings for AML/CFT.

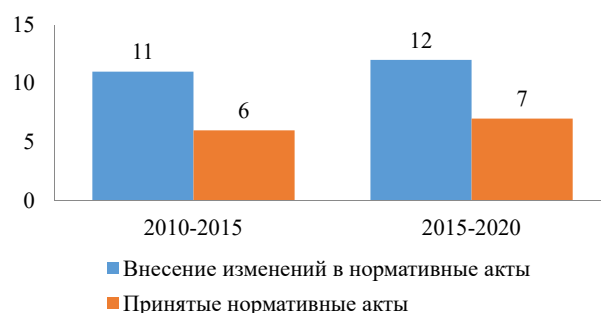
Figure 1. EAG mutual assessments on the state of the AML/CFT system



The right side of the figure shows the forecast for 2021 based on the adopted regulatory legal acts in the

field of combating money laundering and terrorist financing (Figure 2).

Figure 2. Regulatory legal acts adopted in the field of AML / CFT of the Republic of Uzbekistan.



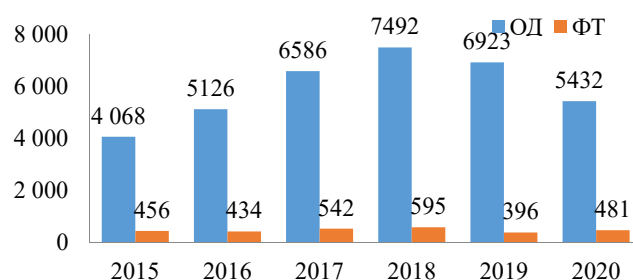
Most of the regulatory documents were in the field of organizing internal control rules for the subjects of primary financial monitoring. The internal control rules on combating the legalization of proceeds from crime, financing of terrorism and financing the proliferation of weapons of mass destruction for: audit organizations, operators, postal service providers, non-bank credit organizations, real estate organizations, etc. have been approved.

Next, consider Figure 2, where you can see the activity of the financial block in transmitting reports of suspicious transactions to the FIU of Uzbekistan. Criteria and signs of suspicious transactions are provided in the Internal Control Rules. Criteria and indications of suspicious transactions are provided for in the Internal Control Rules and are advisory rather than mandatory, but they are distinguished by a high degree of sophistication.

The list of criteria includes both unusual, large, economically unjustified transactions, as well as other criteria - for example, repetition, unusual behavior of the client, third-party transactions, certain cash transactions, as well as location (residence) in a state that is not participating in international cooperation in the field of AML/CFT (Figure 3).

From Figure 3, we can conclude that the number of reports of suspicious transactions in the field of AML/TF has decreased over the past 2 years. This may be due to the pandemic situation, because the activities of the financial sector have slowed down a little during this period, or new money laundering and financing

Figure 3. Number of STRs received by the FIU.



schemes have appeared that are difficult to disclose. [3].

Further, to obtain detailed information on the state of the AML / CFT system, we turn to the statistical materials of international experts. The most popular of these is the Basel Institute of Public Administration. The Institute annually provides a report on country ratings for AML/CFT.

In this ranking in Figure 1, Uzbekistan scored 5.71

points and took 43rd place, ahead of Tajikistan and Kyrgyzstan. Among the countries of Central Asia, Kazakhstan has a high indicator (71st place). According to the rating, money laundering is best fought in Estonia, Andorra, Finland and Bulgaria. The worst situation is in Afghanistan and Haiti (Figure 4).

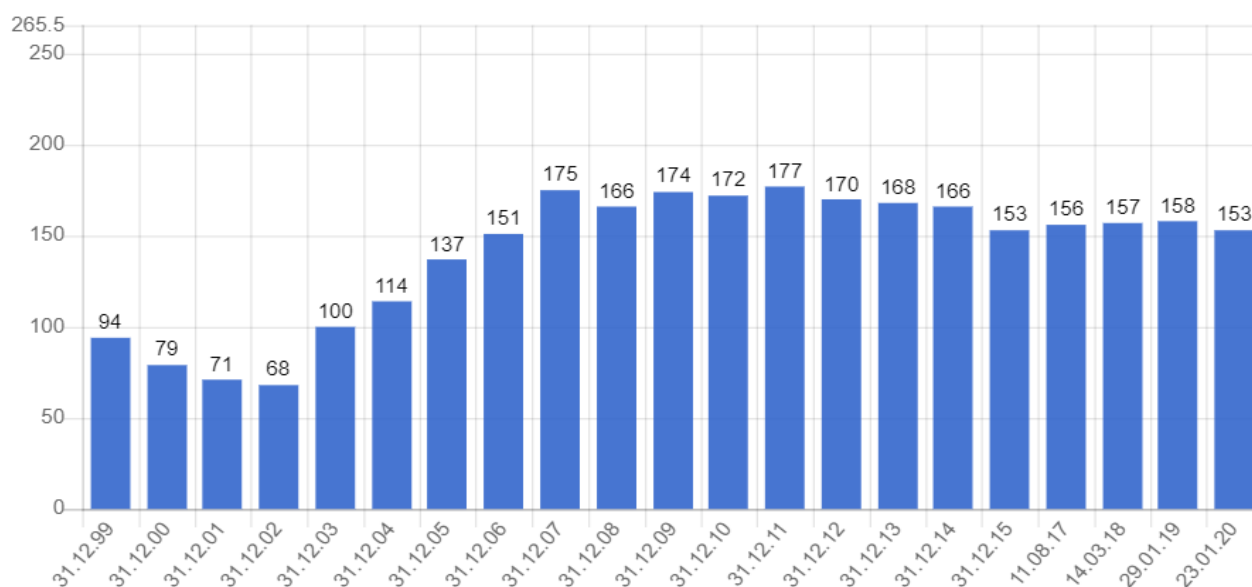
The above rating provides a risk assessment of such areas as: the quality of the AML/CFT system, the degree of bribery and corruption, financial transparency and standards, public transparency and accountability, legal and political risks.

Next, consider another type of crime that is closely related to money laundering - corruption. Another of the international anti-corruption experts, Transparency International, annually publishes a report on the Corruption Perceptions Index. This report includes about 180 countries, which are ranked on a scale from 0 to 100 points. The higher the score, the lower the perception of corruption and vice versa. According to

Figure 4. Basel AML/CFT Index 2020

Ranking	Country	Score
1	Afghanistan*	8.16
2	Haiti	8.15
3	Myanmar	7.86
4	Laos*	7.82
5	Mozambique*	7.81
6	Cayman Islands	7.64
7	Sierra Leone*	7.51
8	Senegal	7.30
9	Kenya*	7.18
10	Yemen*	7.12
11	Cambodia	7.10
12	Vietnam*	7.04
13	Angola*	7.02
14	Nigeria*	6.88
15	Benin*	6.85
16	Nicaragua	6.78
17	Côte d'Ivoire*	6.78
18	China	6.76
19	Algeria*	6.74
20	Venezuela*	6.56
21	Zimbabwe	6.54
22	Cape Verde	6.52
23	Sri Lanka	6.52
24	Paraguay*	6.45
25	Bahamas	6.43
26	Tanzania*	6.39
27	Kyrgyzstan	6.32
28	Pakistan	6.30
29	Liberia*	6.25
30	Mongolia	6.24
31	Bolivia*	6.20
32	Tajikistan	6.02
33	Thailand	6.01
34	Jamaica	5.99
35	Jordan	5.96
36	Panama	5.96
37	United Arab Emirates	5.89
38	Bangladesh	5.88
39	Qatar*	5.87
40	Barbados	5.87
41	Turkey	5.76
42	Macao Sar, China	5.72
43	Uzbekistan*	5.71
44	Albania	5.69
45	Philippines	5.67
46	Belize*	5.64
47	Bosnia-Herzegovina*	5.63
48	Seychelles	5.59
49	Marshall Islands*	5.57
50	Honduras	5.54
51	Morocco	5.54
52	Russia	5.51

Figure 5. Corruption index for the Republic of Uzbekistan.



the report for 2019, Uzbekistan is ranked 153rd (Figure 5).

Among the CIS countries in 2019, Armenia again made the biggest breakthrough in a year - from 42 points to 49 (at the same time, it scored 35 points in the index for 2018). Kazakhstan significantly improved its performance - from 34 to 38 points. Ukraine received three points more than in 2019 (33 points). Belarus (47 points) and Moldova (34 points) scored two points more than last time. Kyrgyzstan and Uzbekistan scored more points (31 and 26 points respectively). The indicators of Georgia (56 points), Azerbaijan (30 points), Tajikistan (25 points) and Turkmenistan (19 points) remained unchanged.

It should be mentioned that in 2020, law enforcement officials recorded 838 cases of corruption. According to available data, 647 officials are involved in 454 criminal cases. Most of all, high-ranking officials were prosecuted under three articles. 261 officials were prosecuted under Article 167 (Theft by misappropriation or embezzlement), 116 officials were charged under Article 168 (Fraud) and 68 high-ranking officials were prosecuted under Article 184 (Evasion of taxes or other obligatory payments). It is worth noting that among the officials against whom criminal cases were initiated: 4 hold positions of the republican level, 15 regional, 626 city and district.

The next index is the Global Terrorism Index. The following Figure 6 shows a rating of scores from 1-138, the lower the score, the greater the level of terrorist threat (Figure 6).

The top of the ranking of the countries most exposed to the terrorist threat is quite expected: Afghanistan, Iraq, Nigeria, Syria, Pakistan and Somalia are states in a state of protracted civil war. They account

for more than 70% of all terrorist attacks. In 2019, Uzbekistan dropped a few more steps and occupies the 135th line of the rating. This assessment indicates that the Republic of Uzbekistan is one of the safest in the world. Security from terrorist threats is the result of serious and thoughtful work in the field of preventing the radicalization of youth, which is carried out by many ministries, departments, civil society institutions and religious organizations, as well as the effective work of special services of the country's power bloc.

However, it should be mentioned that in 2020, law enforcement agencies in Uzbekistan detained 25 people who are members of the "Jamaat at-Tawhid wal-Jihad" terrorist organization. Thanks to the timely response of the authorized bodies, they were unable to carry out the plan to leave for Syria.

Despite the work done, there are still questions and tasks that need to be addressed.

At present, almost all financial, banking and economic services of Uzbekistan have organized internal control to combat the legalization of proceeds from criminal activity.

In this regard, the authorized bodies to combat money laundering need to constantly improve their work on monitoring and controlling these processes.

In 2019 year Uzbekistan has dropped a few more steps and occupies 135 rating line. This assessment indicates that the Republic of Uzbekistan is one of the safest in the world. Security from terrorist threats is the result of serious and thoughtful work in the field of prevention of radicalization youth, which is held many ministries, departments, civil society institutions and religious organizations, as well as effective work of special services of the power unit countries. [7].

However, it should be mentioned that in 2020 year

Figure 6 Global Terrorism Index 2019.

RANK	COUNTRY	SCORE	RANK CHANGE	RANK	COUNTRY	SCORE	RANK CHANGE	RANK	COUNTRY	SCORE	RANK CHANGE
83	 Argentina	1.68	↑ 1	110	 Cyprus	0.42	↑ 18	138	 Costa Rica	0	↑ 32
84	 Austria	1.655	↓ 5	110	 Albania	0.42	↑ 13	138	 Slovenia	0	↑ 32
85	 Kazakhstan	1.566	↓ 10	112	 Bulgaria	0.372	↑ 1	138	 Togo	0	↑ 30
86	 Ghana	1.559	↑ 36	113	 Djibouti	0.32	↑ 10	138	 Mauritania	0	↔
87	 Kyrgyz Republic	1.467	↓ 7	114	 Zambia	0.305	↑ 10	138	 Portugal	0	↔
88	 Bosnia and Herzegovina	1.388	↑ 3	115	 Macedonia (FYR)	0.301	↓ 9	138	 Croatia	0	↓ 1
89	 Papua New Guinea	1.364	↓ 12	116	 South Korea	0.296	↓ 2	138	 El Salvador	0	↔
90	 Georgia	1.335	↓ 1	117	 Latvia	0.229	↓ 10	138	 eSwatini	0	↔
91	 Guatemala	1.331	↑ 29	118	 Switzerland	0.191	↑ 6	138	 Mongolia	0	↔
92	 Morocco	1.25	↑ 40	119	 Hungary	0.181	↓ 9	138	 Romania	0	↔
93	 Senegal	1.186	↑ 3	120	 Dominican Republic	0.177	↓ 11	138	 Benin	0	↔
94	 Armenia	1.173	↓ 11	121	 Uruguay	0.172	↓ 10	138	 Equatorial Guinea	0	↔
95	 Laos	1.033	↓ 10	122	 New Zealand	0.143	↓ 8	138	 Cambodia	0	↓ 3
96	 Taiwan	1.008	↑ 3	123	 Estonia	0.115	↓ 7	138	 Botswana	0	↔
97	 Montenegro	0.999	↑ 35	123	 Moldova	0.115	↓ 7	138	 Namibia	0	↔
97	 Vietnam	0.999	↑ 7	123	 Serbia	0.115	↓ 7	138	 Cuba	0	↔
99	 Honduras	0.992	↓ 18	126	 Liberia	0.105	↓ 7	138	 Turkmenistan	0	↔
100	 Guinea	0.971	↑ 12	127	 Lesotho	0.095	↓ 6	138	 Mauritius	0	↔
101	 Denmark	0.957	↓ 1	128	 Norway	0.076	↓ 5	138	 Timor-Leste	0	↔
102	 Czech Republic	0.866	↓ 15	129	 Slovakia	0.057	↓ 3	138	 Singapore	0	↔
103	 Azerbaijan	0.698	↓ 5	130	 United Arab Emirates	0.048	↓ 3	138	 Eritrea	0	↔
104	 Malawi	0.663	↑ 3	131	 Panama	0.038	↓ 3	138	 North Korea	0	↔
105	 Gabon	0.551	↓ 12	131	 Guyana	0.038	↓ 3	138	 The Gambia	0	↔
106	 Poland	0.477	↓ 4	133	 Qatar	0.029	↓ 3	138	 Oman	0	↔
107	 Jamaica	0.472	↓ 13	133	 Iceland	0.029	↓ 3	138	 Guinea-Bissau	0	↔
108	 Sierra Leone	0.458	↓ 13	135	 Trinidad and Tobago	0.019	↓ 10	138	 Belarus	0	↔
108	 Lithuania	0.458	↑ 30	135	 Uzbekistan	0.019	↓ 3				
				137	 Bhutan	0.01	↓ 2				

in Uzbekistan 25 people were detained by law enforcement agencies, who are members of the terrorist organization "Jamaat at-Tawhid val- Jihad". Thanks to timely reactions authorized organs they could not implement plan departure to Syria.

At present, almost all financial, banking and economic services of Uzbekistan have organized internal control to combat the legalization of proceeds from criminal activity.

At the present time, almost all financial, banking and economic services of the Republic of Uzbekistan have internal control against the legalization of money laundering, received from criminal activities and financing of terrorism. Nevertheless, these industries require continuous improvement.

Uzbekistan is rapidly carrying out creative work, which is directly related to improving the quality of life of the population, these reforms do not pass by to increase the investment attractiveness of the country. At the same time, the facts of embezzlement and misuse of budgetary funds continue to take place, which will negatively affect the effectiveness of the ongoing reforms. Our AML system/ FT is different from most foreign AML systems/ FT, first of all, an increased degree of detail of the rules and the procedures described in laws

and regulations normative acts, and tough regulation of the activities of credit institutions in AML/FT what makes it quite costly. In addition, our credit institutions have passive role in the AML system/ FT, conducting financial investigations in Uzbekistan in more is function not of the banks themselves, but of the Central Bank and the Department for Combating Economic Crimes, which acts as a “filter” for processing and analysis information.

Despite improvement, anti-laundering system of the Republic of Uzbekistan eliminate shortcomings, given the growth of typologies of laundering schemes, the task is not simple. At the moment basic task before the authorized bodies of the Republic of Uzbekistan to bring into conformity and conduct a comprehensive analysis legal AML bases\FT to create a logical chain and correct interaction of regulatory documents.

CONCLUSION

From analysis can boldly highlight AML problems/FT in Uzbekistan and give row following recommendations for improving the legal support of the economy in order to combat money laundering obtained by criminal means:

1) Create single scheme regulating bodies AML/CFT and its members.

2) From- for the lack of special programs for the process of detecting factors and signs of dubious and suspicious transactions performed manually by employees of the internal control service. This has a negative impact on the control coverage of bank customers for suspicious transactions. I would like to introduce automation and integration of ABT (Automated Banking Systems) procedures for identifying dubious and suspicious transactions. Perfection of such type of control will reduce the risk of non-detection, reduce the time of its implementation and will have an effective impact on dubious transactions.

3) We must admit the fact that today is not yet the entire Uzbek structure is ready in complete assuming responsibility for new standards AML/FT that's why construction new model financial monitoring should be based on carefully calibrated methodology. It is necessary to introduce generally accepted standards on combating money laundering into national legislation, which will give a positive result only in the case of active cooperation between authorized bodies of foreign states.

4) Modernization of material technical base. This task is one of expensive but the results are worth it. Use in the process of analytical research work of modern technologies allows to increase the efficiency and speed of work performed. The software package plays an important role. FIUs often face a flood of data requiring careful analysis. Row programs such as SQL, S.A.S., IBM 2 and PYTHON give possibility of manipulation data, cutting off unnecessary information helps to focus on the main goal, thereby accelerating process work.

5) Training and promotion qualifications personnel

in the field of combating money laundering. In this case, the task of the staff is to acquire not only knowledge about AML/CFT, but also the acquisition of skills in the programming language, especially programs of an analytical nature.

6) Maintenance of publicly available statistical indicators of the FIU of Uzbekistan. Statistical data on the website of the Department of Economic Crimes is practically absent.

The main significant disadvantages of the anti-washout system are listed above. At the moment, Uzbekistan is preparing for the second round of EAG mutual evaluations, which will be held in 2021-2022. At the moment, FIU Uzbekistan has made a number of efforts in obtaining good results from EAG experts and should comply with the new FATF standards and methodologies.

REFERENCES:

1. https://eurasiangroup.org/files/uploads/files/other_docs
2. https://stat.uz/ru/?preview=1&option=com_dropfiles&format=&task=frontfile.download&catid
3. https://stat.uz/ru/?preview=1&option=com_dropfiles&format=&task=frontfile.download&catid
4. <https://beta.kun.uz/ru/news/2020/11/14/uzbekistan-zanyal-43-mesto-v-reytinge-borby-s-otmy-vaniyem-deneg>
5. <https://baselgovernance.org/publications/basel-aml-index-2020>
6. <https://upl.uz/policy/18528-news.html>
7. <https://nuz.uz/obschestvo/44665-uzbekistan-vnov-uluchshil-svoi-pozicii-v-global-nom-reytinge-terroristicheskikh-ugroz.html>